



A diagnostic model of private control and collective control in buyer-supplier relationships



Yi Liu^a, Yadong Luo^{b,c}, Ying Huang^{d,*}, Qian Yang^e

^a Antai College of Economics & Management, Shanghai Jiao Tong University, Shanghai 200052, China

^b School of Business Administration, University of Miami, Coral Gables, FL 33124-9145, United States

^c Sun Yat Sen University Business School, Guangzhou, China

^d Manning School of Business, University of Massachusetts at Lowell, Lowell, MA 01854, United States

^e School of Management, Northwestern Polytechnical University, Xi'an 710072, China

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ABSTRACT

This study examines the control-based governance in buyer-supplier relationships. Building on boundary spanning theory and governance literature, we propose an integrated model that consists of exchange parties' private control (aimed at individual gains) and collective control (aimed at joint gains) in boundary spanning activities, along with their structural antecedents and relationship consequences in interorganizational governance. Using data collected from manufacturer-distributor dyads, we demonstrate that a buyer-supplier relationship characterized by a high degree of distributive justice and low degrees of goal difference and power asymmetry promotes exchange parties' collective control while inhibiting private control in boundary spanning conduct. The impact of private and collective controls on dyadic relationship performance is further mediated through governance costs and returns. Specifically, private control results in conflict and transaction costs that undermine dyadic relationship performance, whereas collective control leads to solidarity and reciprocity that sustain dyadic relationship performance. Recognizing and distinguishing between private control and collective control is essential to managing boundary-spanning behavior in buyer-supplier relationships and to solidifying relationship performance in supply chain and channel management.

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1. Introduction

The abundant research on interorganizational relationships in the past few decades has clearly documented the role of collaboration in value creation as well as the importance of control in interorganizational governance (Bensaou & Venkatraman, 1995; Jap & Ganesan, 2000; Majchrzak, Jarvenpaa, & Bagherzadeh, 2015). Control, a mode of structuring and regulating the conduct of parties, is essential to achieving firm performance and managing interorganizational relationships (Das, 1989; Das & Teng, 1998; Luo, 2007; Williamson, 1979), because proper control can curtail the risk and uncertainty that are inherent in exchange (Claycomb & Frankwick, 2010; Larson, 1992). Thus, choosing proper control practices is key to interorganizational relationships management (Hoetker & Mellewigt, 2009) because “coordination and other desirable outcomes do not occur unless members recognize and choose behaviors most efficient and effective for the conduct” (Gilliland, Bello, & Gundlach, 2010, p. 441). Accordingly, much research has been

devoted to investigating control in interorganizational governance and results have been prolific (e.g., Das & Teng, 1998; Gilliland et al., 2010; Heide, Wathne, & Rokkan, 2007; Jap & Ganesan, 2000; Varoutsas & Scapens, 2015).

To date, control¹ has been studied in various ways, including the degree of importance and effectiveness (primary & secondary controls; see Jaworski, 1988), point of intervention (process & output controls; see Jaworski, 1988), ownership structure (equity & non-equity controls; see Yan & Gray, 1994), control dimension (incenting, monitoring, & enforcing, see Gilliland et al., 2010), governance mechanism (transactional/formal & relational/social, see Popp & Zenger, 2002), and parties involved (private & collective controls, see Luo, 2007). Despite their fruition of providing multiple facets of the control practices, many of prior control typologies focus on control exerted by a single party. An

* Corresponding author.

E-mail addresses: liuyi76@sjtu.edu.cn (Y. Liu), dr.yadong@gmail.com (Y. Luo), Ying_Huang1@uml.edu (Y. Huang), bmyangqian@scut.edu.cn (Q. Yang).

¹ We distinguish *control* from *governance*. *Governance* is regarded as “a higher-level concept describing an organizational construction or, in broader term, institutional framework” whereas *control* is “the underlying and concrete operative practice” that is brought to achieve the desirable or predetermined goal (Hoetker & Mellewigt, 2009, p. 1027). Different control activities (e.g., process and output controls) may be adopted by two parties to support interorganizational governance (e.g., a contractual arrangement).